

**IN THE NETWORKING AND INFORMATION TECHNOLOGY RESEARCH AND
DEVELOPMENT (NITRD) NATIONAL COORDINATION OFFICE (NCO),
NATIONAL SCIENCE FOUNDATION.**

Request for Information on the Development of an Artificial Intelligence Action Plan

90 Fed. Reg. [9088-89](#)

**COMMENTS OF
THE HIGH TECH INVENTORS ALLIANCE**

STATEMENT OF INTEREST

The High Tech Inventors Alliance (HTIA) represents leading technology providers and includes some of the most innovative companies in the world. HTIA member companies are global leaders in software, ecommerce, cloud computing, artificial intelligence, quantum computing, digital advertising and marketing, streaming, networking and telecommunications hardware, computers, smartphones, and semiconductors. HTIA includes four of the top six software companies in the world, two of the top ten providers of 5G network infrastructure, three of the ten largest tech hardware companies, and three of the ten largest semiconductor companies in the world.

HTIA exists to promote innovation and American jobs through equitable patent policies and a more efficient, effective, and balanced patent system. HTIA's member companies are some of the world's largest funders of research and development, collectively investing more than \$165 billion in these activities annually. They are also some of the world's largest patent owners and have collectively been granted nearly 350,000 patents, and include five of the top twenty AI patent holders. HTIA members are also frequent targets of assertions of patents that were improperly issued.

HTIA's members are leaders in the development of artificial intelligence. They have a strong interest in the development of government policies that will allow the United States to maintain its leadership in this critical field.¹

¹ This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.

COMMENTS

Maintaining the United States' leadership in the development of artificial intelligence requires pro-innovation policies across the federal government. Our patent system has a role to play in supporting this leadership, through robust patent examination to grant valid patent rights at the outset of the patenting process, and a robust patent review process to address any errors in examination after the fact.

This is particularly important given the tremendous increase in the patenting of AI innovations, and the growing percentage of those patents held by foreign entities. The U.S. grants more patents to foreign applicants than any other country in the world.² In 2023, more than 167,000—or 53%—of the patents issued by the USPTO went to foreign inventors. The Chinese Patent Office, by contrast, granted 89% of its patents to Chinese inventors.³ Chinese entities received about 28,000 U.S. patents last year.⁴ Among the ten biggest recipients of U.S. patents in 2024, the top two—and six of the top ten—were foreign entities. Huawei—a company that the United States has deemed a threat to national security—ranks as the fifth largest recipient of U.S. patents.⁵ In total, more than 1.8 million of the U.S. patents currently in force were issued to foreign entities.⁶

With respect to patents that are directed to AI in particular, the United States has seen an explosion in patenting in recent years.⁷ Although many of these patents are held by American companies, a growing percentage go to foreign entities, including companies based in China.⁸ Indeed, in the last year, the total number of U.S. patents granted to China grew by more than 30%.⁹

A critical tool in pruning invalid patent claims and preserving AI innovators' freedom to operate is patent validity review at the USPTO's Patent Trial and Appeal Board. In HTIA member

² WIPO, World Intellectual Property Indicators 2024, Chart A13, Patent grants for the top 20 offices, 2023; <https://www.wipo.int/edocs/pubdocs/en/wipo-pub-██████████en-world-intellectual-property-indicators-2024.pdf>.

³ *Id.*

⁴ See ifi CLAIMS, 2024 Trends and Insights, at <https://www.ificlaims.com/rankings-trends-2024.htm>

⁵ Harrity & Harrity, Patent 300 List; <https://harrityllp.com/patent300/>.

⁶ WIPO, *supra* note 2, at Chart A61, Patent grants by office and origin, and patents in force, 2023.

⁷ See Harrity & Harrity, "AI Titans: Who's Dominating the Patent Universe," at <https://tinyurl.com/3d9nf5ku>

⁸ See The Motley Fool, "The Companies With the Most Generative AI Patents -- and Why Investors Should Care," Jan. 27, 2025, at <https://www.fool.com/research/generative-ai-patents-investors/>

⁹ See ifi CLAIMS, 2024 Trends and Insights, at <https://www.ificlaims.com/rankings-trends-2024.htm>

companies' experience, PTAB provides expert and efficient review of patent claims. PTAB review also avoids lengthy and burdensome litigation that allows an invalid patent to distract innovators from research and development and opens up highly sensitive technical information to discovery by competitors and foreign entities.

Congress itself has also repeatedly recognized a need for patent-validity review by technical experts at the Patent Office. Prior-art challenges in district court have always been available, but, since 1980, Congress has authorized—and repeatedly reenacted and refined—post-issuance review at the USPTO.¹⁰ The laws on the books reflect a recognition of the importance of an agency error correction process outside of the time, expense, and inefficiency of civil litigation.

Withdraw the USPTO's *Fintiv* Rule and Decide Patent Challenges on the Merits

If the new Administration wishes to preserve AI innovators' freedom to operate, it needs to reform the patent examination process to curtail the issuance of such a high number of invalid patents—and it must also preserve access to PTAB review. In this regard, HTIA was concerned to see that the USPTO has maintained—and on February 28, even strengthened—a policy that arbitrarily denies a defendants' access to PTAB review. The USPTO has now twice sought comment on the rule of *Apple Inc. v. Fintiv, Inc.*, IPR2020-00019 (Mar. 20, 2020), which precludes a validity review at the PTAB if the district court litigation is deemed likely to be “faster.” (Never mind that, with post-trial motions, civil litigation is never actually faster than PTAB review—and it is never as technically accurate or reliable.) The USPTO has received thousands of comments on its *Fintiv* rule but has thus far declined to codify the framework that it articulates through notice-and-comment rulemaking. If a practice is so controversial that the agency avoids subjecting it to public scrutiny through rulemaking, its continued enforcement as a mandatory rule by that agency makes a mockery of the rulemaking process, the Executive Orders that govern regulatory review, and the Administrative Procedure Act. *Fintiv* has now resulted in the arbitrary denial of hundreds of meritorious review petitions, leaving a host of invalid patents in force. If APA rulemaking is to mean anything, rules that have not undergone this statutorily prescribed process must not have the same force and effect as regulations that have been properly promulgated under the APA.

¹⁰ See H.R. Rep. No. 96-1307, 96th Cong., at 4 (1980) (emphasizing the need “to have the validity of patents tested in the Patent office where the most expert opinions exist and at a much reduced cost”) (report to accompany H.R. 6933, authorizing reexamination of patents).

And there should be no doubt that *Fintiv* is illegal. This uncodified policy directly contravenes 35 U.S.C. § 315(b), which already sets a deadline for filing an inter partes review petition in relation to district court litigation. That section provides petitioners with one year to seek PTAB review after they have been sued. Congress carefully deliberated over this deadline and extended it from six months to a full year in the final version of the America Invents Act out of concern that petitioners be allowed adequate time to prepare and file their petitions. It is not within the USPTO's authority to second guess Congress's express policy choices or to substitute its policy preferences for those embodied in an enacted statute. *Fintiv* cannot be reconciled with the Patent Act or with Congress's clear intent in establishing a one-year deadline after service of a complaint for the filing of a petition.

Finally, and most fundamentally, *Fintiv* allows Chinese companies and other entities that contribute nothing to the U.S. economy to extract billions of dollars from U.S. companies based on invalid patents. Any strategy to strengthen our nation's industrial base and continue to lead in the development of technologies such as AI requires that the United States enable its innovators to defend themselves when they are sued on invalid patents.

By putting in place pro-innovation policies, we can maintain America's leads in AI and unlock all the opportunities it can create. For patent policy, this means restoring the post-grant review process to evaluate patent challenges on their merits and conducting more robust patent examination at the outset to reduce the issuance of invalid patent rights.